

There is nothing wrong with trading; these traders also play their part in providing liquidity to the markets. It's only when people are not clear about their own investment plan that all these products and techniques become overwhelming and confusing. There are a number of TV shows and advertisements on investment. Under the banner of investing and investments they knowingly or unknowingly arouse your gambling instincts by giving you trading and speculating ideas. Maybe they themselves are also ignorant about 'investing'. Look at some of the advertisements of banks, mutual funds, brokers and investment advisors. None of them will talk about helping you to make an investment plan. Most of them offer to help you trade or speculate promising you quick returns. They get away with it because investing is a complex subject and not many people know much about it. Be very careful of instant gratification ideas. They are only dreams. Everyone and anyone in the stock market could be a trader but not everyone is an investor.



Plan of Action

- Make an investment plan for yourself.
- Decide the different types of investment vehicles you need and the procedure you need to adopt.
- If you believe trading is the appropriate procedure for you so be it. But understand that you are trading and not investing. So when the vagaries of the market hit you hard do not wonder how it happened. You opted for the trading choice that seems easier, and you paid the price.

Investment planning is a continuous process. We are living in times of constant change and our goals change with our changed circumstances, requiring us to reweigh our options constantly. It requires discipline to stay the long-term course and patience to achieve the desired outcome. If equity stocks happen to be the most preferred investment vehicle in your investment plan, you need to understand the strategy that needs to be adopted. The next chapter explains investment strategy.